



VIETNAM SOLAR POWER SECTOR

Since Vietnam's participation in the 26th United Nations Climate Change Conference of the Parties (COP26) in Scotland in November 2021, Vietnam went through considerable changes in the energy sector in the nation. The delegation was led by Prime Minister Pham Minh Chinh, and the trip demonstrated the country's determination and efforts in promoting and realizing international commitments to climate change response.

Vietnam's total technical potential for solar power is up to 1,646GW (1,569GW is the ground potential and 77GW is the water potential). The total scale potential for the development of large-scale solar power nationwide is approximately 386 GW. In the past two years, Vietnam has been in the leading position in solar power development in the ASEAN region., Vietnam's solar power sector grew strongly with a new capacity estimated at 17.6 GW in 2021. The current Feed-in-tariff (FIT) for solar projects was also introduced and was extended from 2021 to 2023, illustrating the government's support for solar power. This tariff is set at 9.35 US cents/kWh for all solar projects that achieve commercial operation before the end of the FIT period and will range from 6.67 US cents/kWh to 10.87 US cents/kWh, depending on location and type of solar technology.

The new policy replacing the 20-year FIT for rooftop PV policy, which expired in 2021, is based on the ratio between electricity consumed and the total installed production capacity which has been drafted, allowing sellers to sell 70-90% of generated electricity and the remainder to the Vietnamese state-owned utility company, Vietnam Electricity (EVN).

Along with replacing net metering with the direct consumption/supply method, the government released the third draft of its mechanism for encouraging the development of solar power. As a general guiding principle, the power purchaser is obligated to buy the power output sold from rooftop solar systems to the grid (consistent with the regulations and technical standards of the national electrical power industry).

Currently, the largest solar project in Vietnam, and indeed Southeast Asia, is the 600MW Dau Tieng Solar Power Complex, located in Tay Ninh Province, 100km away from Ho Chi Minh City. The project started commercial operation and began delivering power to EVN.

In addition, in the central Ninh Thuan Province, the epicenter of Vietnam's solar energy boom, the Trung Nam Group, a Vietnamese conglomerate, has also constructed a solar farm, one of the largest in Southeast Asia.

Due to the potential opportunities in the renewable energy sector in the country, Vietnam is most likely to seek cooperation with foreign investors and developers who have experience in the following areas:

- PV modules
- Rotors, swiveling equipment
- Energy storage
- Sun-tracking technology
- Off-grid all-in-one solar solutions
- Portable water treatment solar-based units
- Integrated solar energy for manufacturing plants

For more information please contact:

Mr. Nam Tran, Commercial Specialist at Nam.Tran@trade.gov
Ms. Janice Tran, Commercial Specialist at Bich.Tran@trade.gov

09/27/2022

For U.S. Businesses

- Export Solutions
- Research Center
- Regulations & Agreements
- Resolve a Trade Problem
- Attend an Event
- News & Highlights
- Let Our Experts Help

BuyUSA

Find a Supplier - Textiles & Apparel

Invest in the U.S.

- Make Connections
- Our Programs
- Research Center
- Let Our Experts Help
- Additional Resources

About Us

- Contact Us
- Careers
- Data & API
- Site Map



INTERNATIONAL
TRADE
ADMINISTRATION

International Trade Administration
U.S. Department of Commerce

1401 Constitution Ave NW
Washington, DC 20230

Connect With ITA



The **International Trade Administration, U.S. Department of Commerce**, manages this global trade site to provide access to ITA information on promoting trade and investment, strengthening the competitiveness of U.S. industry, and ensuring fair trade and compliance with trade laws and agreements. External links to other Internet sites should not be construed as an endorsement of the views or privacy policies contained therein. This site contains PDF documents. A **PDF reader** is available from Adobe Systems Incorporated.